

their friends and colleagues to switch with them. This extra work for customers creates a barrier to entry in the IM market: with all consumers locked in to an incumbent's product, there are no customers left with whom to establish a beachhead.

At IMVU we settled on a strategy of building a product that would combine the large mass appeal of traditional IM with the high revenue per customer of three-dimensional (3D) video games and virtual worlds. Because of the near impossibility of bringing a new IM network to market, we decided to build an IM add-on product that would interoperate with the existing networks. Thus, customers would be able to adopt the IMVU virtual goods and avatar communication technology without having to switch IM providers, learn a new user interface, and—most important—bring their friends with them.

In fact, we thought this last point was essential. For the add-on product to be useful, customers would have to use it with their existing friends. Every communication would come embedded with an invitation to join IMVU. Our product would be inherently viral, spreading throughout the existing IM networks like an epidemic. To achieve that viral growth, it was important that our add-on product support as many of the existing IM networks as possible and work on all kinds of computers.

Six Months to Launch

With this strategy in place, my cofounders and I began a period of intense work. As the chief technology officer, it was my responsibility, among other things, to write the software that would support IM interoperability across networks. My cofounders and I worked for months, putting in crazy hours struggling to get our first product released. We gave ourselves a hard deadline of six months—180 days—to launch the product and attract our first paying customers. It was a grueling schedule, but we were determined to launch on time.

The add-on product was so large and complex and had so many